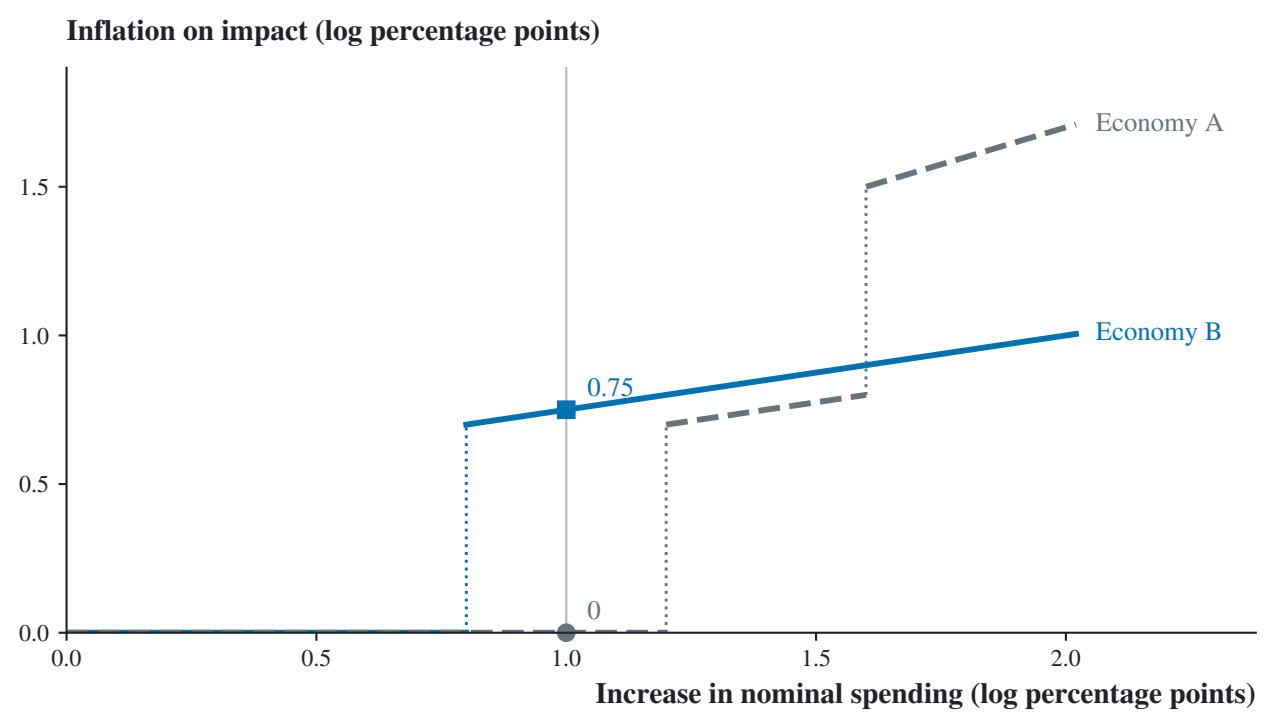
Inflation on impact (log percentage points)
Economy A
Economy B
0.75
0
1.5
1.0
0.5
0.0
0.0
0.5
1.0
1.5
2.0
Increase in nominal spending (log percentage points)